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“Recent steps such as charging low rates for containers carrying stainless steel coils, among others, are indications of the willingness of the railways to address the gaps”



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“Railways globally have taken measures to ensure that they do not lose the total cargo despite the reduction in the share of coal”

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for rail transportation in India are among the highest in the world. In 2021, it was ₹8.6 compared to ₹2.8 in Russia, which was the lowest, followed by China at ₹3 and the US at ₹4.

One of the reasons is cross-subsidies. Higher freight rates enable passenger fare discounts. This increases logistics costs in India. For long-distance transportation and bulk goods, rail has historically been more economical than road, while road is cheaper for lower volumes and short distances. To compete with road logistics, the railways is working on a policy to attract shorter-distance cargo with competitive tariffs. Prab-

has Dansana, Principal Executive Director, Traffic Transportation, Ministry of Railways, says steps have been taken to rationalise the pricing and tariff structure. “Recent steps such as low rates for containers carrying stainless steel coils and a rationalised rate for bulk cement in containers indicate the willingness of the railways to address the gaps,” says Dansana, adding the policy is a work in progress.

Despite significant investments in container infrastructure, the share of container movement by the railways grew only marginally from 4% to 5% between 2014 and 2024, according to the report. An increase in container freight volume indicates a shift towards more sustainable, efficient and cost-effective logistics systems, which benefit the economy, environment and industrial development.

Container freight currently stands at 80 MT of the total 1,617 MT of freight handled by the railways, which is close to 5% of the total volume. Of this, exports and imports contribute nearly 80% of the container segment. To increase container freight’s share in the country’s total commodities basket, it needs to reach 10% of the rail’s total freight basket by 2030.

Achieving this goal will require a significant shift in the composition of container traffic, with greater emphasis on expanding domestic container volumes. In FY25, domestic container freight has seen growth of over 19%, improving significantly from an average annual growth of 7.5% over the last ten years.

On the other hand, there has been a drop of 0.6% in EXIM container freight growth, reversing the previous trend of 7% annual growth between FY14 and FY24. This fall is partly due to a higher mix of trans-shipment cargo, which reduces reliance on rail transport, along with a shift towards cargo originating closer to ports, lessening the need for long-haul rail movement.

“To attract more container volumes, there is also a demand for changing the pricing system for containers, and railways should not charge based on the commodities, but pricing based on trains. This could lead to more flexibility in end-user pricing by rail operators and help attract more volumes of light cargo emerging from the manufacturing sector,” says Puri.

Reducing the cost of empty haulage, nominating more terminals as exclusive container rail terminals and examining flexibility in wagon maintenance to allow greater private sector participation are some of the other issues that need to be addressed to improve

